



VAT Refund on UAE Nationals' New Residence Simpler and More Transparent Procedures

What is the VAT Refund on UAE Nationals' New Residence?

This is a service provided to UAE nationals whereby they may apply for a refund of Value Added Tax (VAT) incurred on the construction of a private residence, subject to specific conditions stated in Article (66) of Cabinet Decision No. (52) of 2017 on the Executive Regulations of Federal Decree-Law No. (8) of 2017 on Value Added Tax and the procedures of the Federal Tax Authority.



What are the eligibility conditions for a refund request?

1. Refund requests will only be accepted from UAE nationals.
2. The refund request must be submitted within 12 months from the date of issuance of the Building Completion Certificate.

Note: To ensure that all expenses related to the construction of a private residence are recoverable, the applicant must ensure that the dates of expense invoices do not exceed the date on which supporting documents are submitted to the Verification Body. The applicant must also ensure that all expenses related to the construction of the residence have been incurred before submitting the refund request to the FTA. The request must be submitted within a period not exceeding 12 months.



What is the definition of a residence eligible for this service?

The term "residence" refers to any building (including townhouses and villas) used predominantly as a private home by a natural person, including fixtures and fittings belonging to the residence and used within it, which comprise at least cooking facilities, washroom/bathroom facilities and sleeping quarters.

Important Note: Any subsequent annexes or detached structures subsequently built on the same plot of land will not be regarded as a "residence" for the purposes of the New Residences Refund Scheme unless such annexes or detached structures meet the definition of a residence and comprise at least the following:

- Cooking facilities - Washroom/bathroom facilities - Sleeping quarters





Criteria for Recoverable Expenses

A subsequent refund claim may be submitted to recover retention amounts withheld under construction contracts. The claim must be submitted within 6 months from the date of payment of such amounts.

Examples of goods that are considered to be incorporated into the building and would be **eligible** for a VAT refund include:

Building Materials



- Window frames and glazing
- Electrical wiring incorporated into the structure of the residence
- Flooring (excluding carpets)

Other



- Landscaping
- Gym
- Games room
- Swimming pools
- Fountains
- Ornamental water features
- Security and smart systems and their accessories incorporated into the construction of a new residence

Services



Services provided by:

- Contractors
- Builders
- Architects
- Engineers
- Other similar services

Home Appliances



- Doors
- Central air conditioning units and split units
- Kitchen sinks, work surfaces and fitted cupboards
- Sanitary units
- Fire alarm systems and smoke detectors

Examples of goods that are not considered to be incorporated into the building and would **not be eligible** for a VAT refund include:

Furniture



- Sofas
- Tables
- Chairs

Home Appliances



Removable household appliances such as:

- Refrigerators
- Ovens
- Washing machines

Documents Required to Complete the Refund Application (EmaraTax)

1) Documents required to be submitted at the first stage of the application:

- Family Book details (where login has not been completed through UAE PASS)
- A copy of the applicant's Emirates ID
- IBAN confirmation letter (In the event that the login has not been completed through UAE PASS)
- Building Completion/Occupancy Certificate issued by the relevant municipality or competent authority
- Any supporting documents relating to the exceptional cases outlined below



2) Documents Required to be Submitted to the Verification Body After Receiving Eligibility Approval:

- The initial architectural plan approved by the municipality (layout PDF), showing all buildings constructed on the plot of land
- The initial building permit
- A copy of the contractor's contract
- A copy of the consultant's contract
- A copy of the bill of quantities
- All tax invoices corresponding to the refund amount requested in the application
- Proof of payment of the tax invoices (including payment receipts or a "Paid" stamp)
- Any supporting documents requested at a later stage

Documents Required to Complete the Refund Application (Maskan)

1) Required Documents (First Stage)

- A copy of the applicant's Emirates ID
- A screenshot of the Family Book details where the application is submitted on behalf of another person
- Building Completion Certificate and Building Permit
- All tax invoices together with proof of payment (including payment receipts or a "Paid" stamp)
- IBAN confirmation letter (In the event that the data is not automatically populated by the application)
- Any supporting documents requested at a later stage

2) Verification Documents (Second Stage)

The FTA will refer eligible applications to the Verification Body.

The Verification Body may request additional documents by email, including:

- The initial architectural plan approved by the municipality (layout PDF), showing all buildings constructed on the plot of land
- A copy of the contractor's contract, including all appendices
- A copy of the consultant's contract, including all appendices
- A copy of the bill of quantities
- Any supporting documents requested at a later stage



Criteria for a Valid Refundable Tax Invoice

1. The words “Tax Invoice” must appear on the invoice. 
2. The full name of the owner or the refund applicant (where the applicant is not the owner) must appear on the invoice. Where the applicant’s name does not appear on the invoice, a Power of Attorney must be provided in the prescribed format outlined below. 

3. The plot number must appear on contractor and consultant invoices only. 
4. The supplier’s name and Tax Registration Number (TRN) must appear on the invoice. 
5. The invoice must have a serial number. 
6. The invoice issue date must appear on the invoice.
7. A clear description of the goods and services supplied must be included on the invoice. 



Exceptional Cases and Special Circumstances Related to VAT Refund Applications for New Residences

The Case

Cases Where the Refund Is Requested to Be Paid into a Bank Account Other Than That of the Residence Owner

A recent special Power of Attorney must be provided and must include the following:

- Representation of the property owner before the Federal Tax Authority in matters relating to the VAT refund for UAE nationals' residences.
- Receipt and collection of all refunded tax amounts related to the cost of constructing the residence for which the application was submitted (address/plot number).
- Deposit of the refunded amounts into the attorney's bank account or transfer of the refunded amounts from the Federal Tax Authority's account to the attorney's account.

Please refer to [the relevant link](#) to use the recommended format for the Power of Attorney.
The Power of Attorney must be notarised by a Notary Public.

Cases Where One of the Owners Is Under Legal Guardianship

A legal guardian must be appointed for persons under legal guardianship

Cases Where the Refund Is Requested to Be Paid into a Bank Account Other Than That of the Residence Owner Because the Owner Is Under the Age of Majority

Court permission must be provided if the owners are under the legal age (heirs).

Cases Where the Residence Is Constructed on Non-Residential Land

A "To Whom It May Concern" certificate issued by the relevant authorities must be provided confirming that the completed building is residential where the residence has been constructed on non-residential land, or where the completed building is described as non-residential in the Building Completion Certificate.



How to Apply?

1) To submit the application through Emaratax:

- Create an account through FTA's EmaraTax portal **eservices.tax.gov.ae** or login through UAEPASS.
- Click on "Apply for New Residence VAT Refund".

2) To submit the application through Maskan application:

- Login through UAEPASS
- Click on "Add project".
- Click on the added project and fill in the required details pertaining the residence.

